HFDC Home Loan – Master Product Program Document

Version: 1.0
Effective Date: Draft
Confidentiality: Internal – Training & Design Only
Jurisdictional Assumption: India (replace/extend for other geographies)
Audience: Product, Credit, Risk, Operations, Legal/Compliance, Sales, Collections, Finance/Accounting, IT, Analytics

Disclaimer: This is a fictitious, model document. Figures, thresholds, and process steps are examples. Always align with the latest applicable laws/regulations (RBI/NHB/country regulator), state stamp duty rules, and HFDC's approved Board policies.

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1) Product Overview

Product Name: HFDC Home Loan (Retail Housing Finance)
Purpose: Financing the purchase, construction, extension, or improvement of residential property; balance transfer of existing home loans; top-up loans against residential property.

Core Value Proposition

- Competitive floating & fixed rate options linked to a transparent benchmark.
- Fast, largely digital journey: eKYC/eSign/eNACH; status tracking via app/portal.
- Flexible repayment and prepayment options.
- Optional home insurance bundling (property damage) and borrower life cover.

Eligible Use Cases

1. Purchase of ready-to-move apartment/house.
2. Purchase of under-construction property (with builder tie-ups).
3. Self-construction on own plot.
4. Home improvement/renovation.
5. Home extension.
6. Balance transfer from other lenders with optional top-up.
7. Refinance of self-funded purchase (seasoned within defined window).

Ineligible Use Cases (illustrative)

- Purchase of purely commercial property.
- Agricultural land purchase.
- Properties with disputed title, forbidden land use, or in hazardous zones.
- Unapproved layouts or properties with major deviations from sanctioned plans.

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2) Product Variants

1. **HL-Prime (Floating Rate)**
    - Benchmark: HFDC Repo-Linked Rate (HRLR) = External Repo + HFDC Spread
    - Reset frequency: Monthly/Quarterly.
2. **HL-Shield (Fixed for X years, then floating)**
    - Fixed for 2/3/5 years, auto-converts to floating thereafter.
3. **HL-Fix (Pure Fixed)**
    - Rate fixed for entire tenure (premium pricing; limited availability).
4. **HL-Smart (Overdraft/Transaction Account)**
    - EMI into overdraft; customer can park surplus to reduce interest on daily balance.
5. **HL-TopUp**
    - Additional funding for existing HL customers with clean repayment track.
6. **HL-BT (Balance Transfer)**
    - Takeover of existing loans at HFDC with possible rate/tenor optimization.

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3) Key Parameters (Illustrative Policy Ranges)

Parameter	Salaried	Self-Employed/Professional	Notes
Loan Amount	₹5 lakh – ₹300 lakh	₹5 lakh – ₹500 lakh	Beyond caps require senior credit override.

Parameter	Salaried	Self-Employed/Professional	Notes
Tenure	5–30 years	5–25 years	Tenure capped by retirement age or 65 years (whichever earlier).
LTV (Max)	Up to 90% (low-ticket), 80%–85% (mid), 70%–75% (high)	Similar but conservative	Subject to regulatory caps and property type.
FOIR/DBR	30%–55%	25%–50%	Based on income band and risk grade.
Interest Rate	HRLR + 1.60%–3.50%	HRLR + 1.90%–4.00%	Final rate by risk tier, LTV, employer profile, bureau score.
Processing Fee	0.25%–1.00%	0.35%–1.25%	Min/Max caps apply.
Prepayment	Zero/Minimal on floating for individuals	Charges may apply on fixed/BT-non-individual	As per policy & regulations.
Moratorium	Up to 6–12 months for construction	Case-by-case	Interest during moratorium capitalized or serviced.

Definitions: LTV = Loan/Lower of Sale Price or Fair Market Value (FMV).
FOIR/DBR = Fixed Obligations to Income Ratio/Debt Burden Ratio.

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4) Eligibility & Demographics

Eligible Borrowers

- Indian residents.

- Non-Resident Indians (NRI)/Overseas Citizens of India (OCI) – per FEMA/NRI policy.
- Co-applicants: Spouse/parents/children/siblings with demonstrable income linkage or ownership; all owners must be co-applicants (title linkage rule).

Age

- Entry: 21–60 (salaried), 21–65 (self-employed).
- At maturity: ≤60 (salaried), ≤65 (self-employed). Retirement proof required.

Income

- Salaried: Minimum net monthly income (NMI) from ₹25,000–₹50,000 (city-tier based).
- Self-Employed: Minimum Profit After Tax/eligible cash profits as per policy; audited financials typically for last 2 years.

Residence/Work Stability (Illustrative)

- Salaried: ≥6 months in current job, ≥2 years total experience.
- Self-Employed: ≥2 years in current business/profession; GST/ITR evidence.

Credit Behaviour

- Bureau score threshold (e.g., 675–700+ preferred); no recent serious delinquencies/settlements; low credit hunger (few recent enquiries); clean EWS flags.

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5) Documentation (Checklist)

Identity & KYC

- PAN, Aadhaar (voluntary), Passport/Driving License/Voter ID.
- Recent photograph, mobile & email verified, FATCA/CRS self-certification (if applicable).
- Address proofs: utility bill, bank statement, Aadhaar (voluntary), passport.

Income Proof – Salaried

- Last 3–6 months salary slips & bank statements.
- Latest Form 16/ITR acknowledgment.
- Employment ID/HR contact for verification.

Income Proof – Self-Employed/Professional

- Last 2–3 years ITR + computation + audited financials (P\&L, Balance Sheet) with schedules.
- GST returns, GSTR-3B/GSTR-1 (as applicable).
- Business registration, partnership deed/MOA/AOA, UDYAM/MSME certificate.
- Current account statements (last 6–12 months).

Property Documents (illustrative; state-wise variation)

- Title chain documents, sale deed/agreements (ATS), mother deed, encumbrance certificate (EC).
- Approved building plan/sanction letter; commencement/occupancy/completion certificate.
- Khata/Patta/Revenue records, property tax receipts, RERA registration details (if applicable).
- NOC from society/developer; Allotment Letter; demand letters for stage-wise payments.

Other

- Existing loan statements & foreclosure letter (for balance transfer).
- Valuation and legal report (arranged by HFDC empanelled agencies).
- Application form, privacy & consent declarations, eNACH/eMandate.

Note: Exact lists vary by state/city/property type (freehold/leasehold/authority allotment/society).

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6) Credit Policy & Underwriting

Risk Segmentation (Illustrative)

- **Prime:** Score ≥ 750, stable income, low LTV, strong employer profile.
- **Near-Prime:** Score 700–749; moderate LTV; small historical delinquencies.
- **Sub-Prime (select):** 650–699; lower LTV; enhanced documentation & pricing.

Assessment Approach

1. **Bureau & Fraud Checks:** CIBIL/Experian/CRIF/Equifax; dedupe; AML/PEP/sanctions screening; device/IP geolocation risk; document forensics for tampering.
2. **Income Assessment:**
    - Salaried: Average income from salary credits; variable pay normalization; FOIR computation; existing EMIs from bureau + bank statements.
    - Self-Employed: Average eligible cash profits; add-backs as per policy; seasonality; bank statement surrogates; GST/turnover triangulation.
3. **Obligations:** EMI aggregation (existing loans/credit cards); compute **FOIR/DBR**.
4. **Property Valuation:** Empanelled valuer's FMV; risk-based second valuation above thresholds.
5. **Legal Scrutiny:** Title search report (12–30 years lookback where feasible), encumbrances, litigations, government notifications; builder due diligence.
6. **Program Caps:** LTV, exposure per borrower/developer, geography caps; builder risk list.
7. **Exceptions & Deviations:** Only via documented credit override matrix (RACI: Maker–Checker–Approver).
8. **Collateral & Coverage:** Mortgage (registered equitable/legal), CERSAI charge creation; insurance: property (mandatory) and borrower life (optional).

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7) Fees & Charges (Illustrative Schedule)

Item	Charges (Illustrative)	Notes
Processing Fee	0.50% of loan amount (min ₹5,000; cap ₹75,000)	Non-refundable post sanction.
Legal & Valuation	At actuals	Payable to empanelled vendors.
Administrative/Stamp	As per state schedule	eStamp/eRegistration fees extra.
Prepayment (Floating–Individual)	Nil	As per policy (Reg-compliant).

Item	Charges (Illustrative)	Notes
Prepayment (Fixed/Non-Individual)	2%–4% on prepaid principal	If applicable.
Foreclosure Statement	Nil	Digital self-service.
Late Payment	2% per month on overdue amount	Pro-rated, capped by policy.
Cheque/NACH Bounce	₹500–₹1,000 per instance	Plus taxes.
Document Retrieval	₹500 per set	On closure requests.

Taxes: As applicable (GST/Stamp Duty/Registration). Replace with your final tariff card.

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8) Interest, Repayment & Repricing

- **Interest Calculation:** Daily reducing balance; monthly rests.
- **EMI Date:** Customer-selectable (1st–10th); pro-rated first EMI if mid-cycle.
- **Rate Reset:** Per product (monthly/quarterly).
- **Part Prepayments:** Any time via app/branch; same-day credit if before cut-off.
- **Repricing:** Allowed based on clean repayment track; repricing fee may apply.
- **Switch Fixed↔Floating:** Allowed under policy with conversion charges.

EMI Formula (for reference)
Monthly EMI = P × r × (1+r)^n / [(1+r)^n – 1]
Where P = principal, r = monthly rate, n = months.

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9) End-to-End Customer Journey (Lifecycle)

A) Origination

1. **Lead Generation:** Branch, website, app, marketplace partners, DSAs, builder desks.
2. **Pre-Qualification:** Quick FOIR/LTV calculator; indicative eligibility & rate range.
3. **Application:** Digital/branch; eKYC, eConsent (bureau, account aggregation where applicable), document upload.
4. **Verifications:**

- **KYC/AML:** Name matching, de-duplication, sanction/PEP checks.
- **Income & Employment:** HR verification for salaried; business verification and GST triangulation for self-employed.
- **Residence/Office:** Physical or digital site visit per risk policy.

5. **Appraisals:** Legal scrutiny + Technical valuation (panel).
6. **Underwriting:** Risk score, policy checks, exception approval (if any).
7. **Sanction:** Sanction letter with terms, validity window, pre-disbursal conditions (PDCs).
8. **Documentation:** Execution of loan agreement, eStamp/eSign (where permitted), KFS (Key Facts Statement), insurance opt-in/out.

B) Disbursement

1. **Pre-Disbursal Conditions (PDCs):** Clear title, builder NOCs, stage-wise demand, margin money proof, property insurance, CERSAI readiness.
2. **Payment Mode:** Disbursement to builder/seller directly (RTGS/NEFT/DD) per regulatory norms; to borrower in self-construction as per stage certification.
3. **Tranche Disbursement (Under-Construction):** Based on engineer's progress report; interest-only (PEMI) until full disbursement or as opted.

C) Post-Disbursement & Servicing

1. **Welcome Kit & App Access:** EMI schedule, amortization table, rate benchmark, customer rights, grievance matrix.
2. **Repayment Setup:** eNACH/eMandate; Auto-debit testing.
3. **Servicing:** Statements, provisional interest certificate, part-prepayments, address/email/mobile updates, insurance renewals.
4. **Rate Resets & Communication:** Regulatory & contract-driven notifications.
5. **Account Maintenance:** Lien/charge updates, CERSAI periodic checks.

D) Collections & Recovery (if delinquent)

1. **DPD Buckets:** 1–30 (Soft), 31–60 (Mid), 61–90 (Hard), 90+ (NPA).
2. **Strategy:** Reminder nudges, hardship programs, restructuring (policy-based), field visits, legal notices.
3. **Security Enforcement:** As per SARFAESI/Recovery laws (post due process), auction procedures, settlement matrices (if allowed).

4. **Credit Reporting:** Timely reporting to bureaus; post-closure updates.

E) Closure

1. **Full Repayment/BT-Out:** Collect foreclosure amount, close lien, issue NOC & loan closure letter within T+7 business days.
2. **Security Release:** Return original documents, update CERSAI and registrar records, remove hypothecation/mortgage entries.
3. **Post-Closure Care:** Final statement, satisfaction of charge, feedback capture.

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10) Operations & Controls

Maker–Checker–Approver:

- **Maker:** Sales/Ops – data capture, KYC, file assembly.
- **Checker:** Ops QA – KYC completeness, doc quality, dedupe, fraud rules.
- **Approver:** Credit – risk decisioning, exceptions.
- **Disburser:** Central Ops – PDC compliance, CERSAI, disbursement controls.

Key Operational Controls

- eKYC with liveness; image forensics for tampering.
- Bureau & dedupe before and after sanction (pre-disbursal re-pull).
- Blacklist/Negative files (persons, addresses, developers).
- Reconciliations: application fees, disbursement vouchers, eNACH mandates.
- Document custody chain: barcoding, dual-control vaulting, periodic audits.
- CERSAI/Registrar updates within SLA.
- Data privacy & consent management (opt-in logs, purpose limitation).
- Complaint & grievance redressal workflow with TATs.

SLAs (Illustrative)

- Sanction TAT: 48–72 working hours post complete documentation.
- Disbursement TAT: 24–48 hours after PDCs satisfied.
- NOC & document return: within 7–15 working days post closure.
- Service requests (address change/part-prepay): 1–3 working days.

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11) Legal & Regulatory (Indicative, India-centric)

- **KYC/AML:** As per applicable Master Directions; maintain KYC records, periodic refresh.
- **Fair Practices & KFS:** Provide Key Facts Statement, MITC (Most Important Terms & Conditions), annualized APR, charges, and reset rules in plain language.
- **CERSAI:** Register mortgage/charges within prescribed timelines.
- **RERA (where applicable):** Verify project registration and builder compliance for under-construction units.
- **Stamp Duty & Registration:** Loan/security documents as per state laws (eStamp/eRegistration when allowed).
- **Data Privacy:** Adhere to applicable data protection law; explicit consent for credit bureau pulls and information sharing.
- **Repossession & Recovery:** Follow SARFAESI/other recovery laws; transparent notices and grievance redressal.
- **Bureau Reporting:** Accurate and timely; corrections within stipulated TATs.
- **Interest Rate Disclosure:** Benchmark, spread, reset frequency, and reasons for changes must be disclosed and updated on the website.

Action: Legal to maintain a living compliance checklist linked to each state/jurisdiction.

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12) Property Appraisal & Technical Guidelines

- **Valuation:**
  - Primary valuation by empanelled valuer; second valuation above exposure threshold or in red-flag areas.
  - Method: Market comparable + cost approach; forced sale value (FSV) for stress scenarios.
- **Legal Due Diligence:**
  - Title search for 12–30 years (state practice); EC for last 30 years where available.
  - Search at Sub-Registrar, Society records, authority (e.g., development/municipal).
  - Verify builder license, RERA registration, approvals & NOCs (fire/environment/lift, etc.).

    - Identify violations/deviations; obtain regularization orders if any.
- **Construction Stage Checks (for self-construction/under-construction):**
    - Foundation, plinth, structure, brickwork/plastering, finishing stages; engineer's report each tranche.
    - End-use monitoring: Site photos with geo-tag/time-stamp.

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13) Special Segments

NRI/OCI Home Loans

- Eligibility per FEMA; KYC with passport, overseas address proof, OCI card (if applicable).
- Income proof: Overseas salary slips, employment letters, foreign tax returns/bank statements.
- Repayment: NRE/NRO accounts; power of attorney (PoA) for execution in India.

Women/First-Time Buyer Programs

- Preferential rate/processing fee waiver; co-ownership encouraged to avail state benefits where offered.

Self-Employed Surrogate Programs (Selective)

- Banking surrogate (average monthly credits), GST turnover, digital payment trails, professional receipts mapping.

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14) Pricing & Risk-Based Matrix (Illustrative Example)

Risk Tier	Bureau Score	LTV Band	Employer/Business Risk	Final Rate (HRLR + Spread)
A+	≥780	≤70%	Category A employer / stable profession	+1.60%
A	750–779	≤75%	Category A/B	+1.90%
B	720–749	≤80%	Category B/C	+2.40%
C	680–719	≤80%	Mixed	+3.00%
D	650–679	≤70%	Higher variability	+3.50%

Note: Tier also considers FOIR, geography risk, builder risk, and banking behaviour.

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15) How to Apply (Customer Instructions)

1. **Check Eligibility:** Use HFDC's online calculator for tentative loan amount and EMI.
2. **Submit Application:** Online/app/branch; keep KYC, income, and property docs handy.
3. **Pay Processing Fee:** Secure payment gateway; receive receipt & application number.
4. **Complete Verifications:** Take verification calls/visits; reply to documentation queries.
5. **Get Sanction Letter:** Review terms, rate type, tenure, insurance options; sign digitally.
6. **Fulfil PDCs:** Margin money proof, builder/seller NOCs, legal/valuation clearance.
7. **Disbursement:** Funds released to seller/builder or in tranches for construction.
8. **Repay EMIs:** Ensure eNACH activation; maintain sufficient balance before EMI date.
9. **Prepay/Part-Pay Anytime:** Use the app to reduce principal and interest burden.
10. **Close & Collect NOC:** On full repayment/BT-out, collect NOC, retrieve originals, ensure lien removal.

Documents Required – Quick List

- KYC (PAN, ID, Address), Photos, Bureau consent.
- Income proofs (salary slips/bank statements or ITRs/audited financials).
- Property papers (title chain, approvals, ATS, tax receipts, EC).
- Existing loan statements (for BT).
- eNACH/eMandate, consent forms.

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16) Servicing FAQs (Customer-Facing)

- **Can I change my EMI date?** Yes, once within the first year; thereafter charges may apply.

- **Is there a penalty for prepayment?** For floating-rate individual borrowers: generally nil. For fixed/non-individual loans: charges may apply.
- **Can I make part-prepayments online?** Yes—via app/portal; no physical visit needed.
- **How do rate resets work?** On your reset date, your rate = Benchmark + Spread. We notify you in advance.
- **What insurance is required?** Property insurance (fire, allied perils) is mandatory; borrower life cover is optional but recommended.
- **What if I miss an EMI?** Late fee applies; your credit score may be impacted. Contact us immediately for assistance options.

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17) Collections & Hardship Programs

- **Early Bucket Strategy (1–30 DPD):** Digital nudges, IVR, WhatsApp/SMS, self-cure options, one-click resubmission of eNACH.
- **Mid Bucket (31–60):** Field visit, promise-to-pay capture, hardship assessment, short-term payment plan.
- **Hard Bucket (61–90):** Senior collector engagement, settlement eligibility checks (policy-based), legal notice preparation.
- **Restructuring (Policy-Driven):** Tenor extension/rate rebalancing for genuine hardship, reported to bureaus as per norms.
- **NPA (90+):** SARFAESI/other legal processes with due diligence & elevated approvals.

Do-No-Harm Standards

- No harassment; time-of-day and place-of-work contact restrictions; transparent disclosures.

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18) Finance, Accounting & Capital (Internal)

- **Recognition:** Effective Interest Rate (EIR) method; day-count convention: Actual/365.
- **Fees:** Processing fees amortized over loan tenure under EIR.
- **Provisioning:** Expected Credit Loss (ECL) by Stage (12-month vs lifetime), macro overlays.

- **NPA Interest Reversal:** As per policy/regulation; income on NPA on cash basis.
- **Hedge & ALM:** Interest-rate gap analysis; duration management; stress testing.
- **Securitization/Assignment:** Eligible pools per policy; true sale accounting; investor covenants.
- **Capital Adequacy:** Maintain regulatory CAR; internal buffers above minimum.

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19) IT, Data & Analytics

- **LOS/LMS Architecture:** API-first, modular LOS (origination) and LMS (servicing); audit trails; maker-checker controls.
- **Integrations:** eKYC, PAN, CKYCR, bureau, bank statement analyzer, GST, eNACH, eSign, CERSAI, RERA datasets (where available), payment gateways, accounting.
- **Data Model (Core Fields):** Applicant profile, KYC IDs, employment/business data, income, obligations, bureau features, property attributes, valuation/legal outcomes, sanction terms, disbursement tranches, repayment ledger, rate resets, collections actions, closure details.
- **Analytics:** Pre-approved limits, pre-delinquency models, attrition risk, refinance/BT propensities, cross-sell (top-up/insurance).
- **Security & Privacy:** Encryption at rest/in transit; consented data use; role-based access; periodic penetration tests.

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20) Risk & Fraud Scenarios (with Mitigants)

Scenario	Red Flags	Mitigation
Inflated income (fake salary slips)	High salary vs industry, no EPF, bank credits mismatch	Direct employer verification, payroll account checks, EPFO data (where permissible)
Fake property approvals	Non-traceable authority numbers	Verify via authority portals; empanelled legal review
Collusion with builder/agent	Multiple cases from same project with anomalies	Builder monitoring, geo-analytics, random second valuation

Scenario	Red Flags	Mitigation
Bust-out fraud	Multiple enquiries, device/IP commonality	Device fingerprinting, enquiry velocity rules
Title defects	Missing chain, unregistered deeds	Mandatory title search & EC, legal opinion
Bank statement manipulation	PDF tampering	Bank-API/secure statement fetch, forensic tools

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21) Governance, Audit & Training

- **Policy Governance:** Annual Board approval of Product Program & Delegation of Authority (DoA); interim updates for regulatory changes.
- **Audit:** Internal audit & external audit of KYC, documentation, vault, CERSAI, collections, customer communications.
- **Training:** Mandatory certification for sales/credit/ops on FPC (Fair Practices Code), conduct, data privacy, vulnerability red flags.

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22) Templates (Illustrative Snippets)

A) Sanction Letter – Key Facts

- Borrower Name(s)
- Loan Amount Sanctioned
- Tenure & EMI
- Product Type (Floating/Fixed/OD)
- Benchmark & Spread; Reset frequency
- Fees/Charges; Prepayment rules
- Validity & PDCs
- Security & Insurance requirements
- Contact & Grievance Redressal

B) Pre-Disbursal Conditions (PDC) – Sample

- Clear legal report; valuation ≥ policy threshold.

- Margin money proof from borrower.
- Builder NOC; latest demand letter for stage.
- Property insurance cover note with HFDC as mortgagee.
- Completed eNACH mandate.

C) Closure NOC – Key Lines

- States full repayment received on date X.
- Confirms release of mortgage/charge and return of originals.
- Advises borrower to remove lien at registrar/society.

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23) Example Calculation (Illustrative)

- **Loan Amount (P):** ₹50,00,000
- **Rate (annual):** 9.00% (monthly r = 0.75%)
- **Tenure:** 240 months

EMI ≈ ₹44,986
Total Interest ≈ ₹57,96,640
(Actual numbers vary with exact rate/resets and prepayments.)

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24) Customer Communications & Transparency

- **Pre-Contract:** KFS, MITC, draft agreement, charges, rate benchmark & spread.
- **During Tenure:** Rate change alerts, statement availability, insurance renewal reminders, delinquency notices with due process.
- **At Closure:** NOC/Closure letters, satisfaction of charge guidance, bureau status update confirmation.

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25) Launch Readiness Checklist

- ✅ Board-approved product & credit policy
- ✅ Legal vetted agreements & disclosures (multi-lingual where required)
- ✅ Empanelled valuers & law firms onboarded
- ✅ LOS/LMS ready with API integrations & audit logs

- ✅ Tariff card published; website disclosures
- ✅ Training completed; sales scripts & FAQs loaded
- ✅ Complaint/grievance mechanism live; TAT tracked
- ✅ Data privacy notices & consent flows implemented
- ✅ MIS & dashboards (TAT, SLA, funnel, risk, provision, vintage) tested

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26) Appendix – Glossary

- **LTV:** Loan-to-Value ratio.
- **FOIR/DBR:** Fixed Obligations to Income Ratio/Debt Burden Ratio.
- **CERSAI:** Central Registry of Securitisation Asset Reconstruction and Security Interest.
- **RERA:** Real Estate (Regulation and Development) Act (where applicable).
- **SARFAESI:** Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act.
- **NPA:** Non-Performing Asset (≥90 DPD).
- **DPD:** Days Past Due.
- **EIR:** Effective Interest Rate.
- **KFS/MITC:** Key Facts Statement/Most Important Terms & Conditions.